DEFENCE UPDATE

SECTOR UPDATE

nuvama institutional equities

Execution to deliver alpha

With ~INR9tn of AoNs approved in 36 months—defence backlogs are already at 3–5x sales while FY26 budgeted capex of ~INR1.8tn (50%+ utilisation in H1) adds to OI visibility. However, stock dispersion is rising with *focus shifting from ordering to timely delivery* sans balance sheet and margin stress. We prefer defence electronics (to grow 2–3x defence budget) driven by modernisation and localisation drive.

We prefer companies with strong execution capabilities, higher localisation and disciplined working capital management (BEL, SOIL), over integrators (HNAL, BDL) that typically face longer execution cycles. Subsystem players such as DPIL remain attractive, given faster execution/superior margin profile. Top picks: BEL, DPIL and SOIL.

Order visibility priced in; execution 'alpha' ahead

India defence enters H2FY26 with strong order visibility, underpinned by INR10tn DPSU pipeline. Following strong order accretion with ~INR9tn of AoNs over the past 36 months and FY26 capital outlay of ~INR1.8tn with 50%-plus H1 utilisation, order visibility remains robust. Backlogs are no longer a constraint, with most companies carrying 3–5x annual revenues. *The investment focus is therefore shifting from order visibility to execution credibility, specifically the ability to meet milestones without margin dilution/balance sheet stress*. Execution risk has overtaken ordering risk, driven by recurring challenges around imported systems/sub-systems, complex integration and elongated certification/trial timelines. Against this backdrop, stock-level differentiation within the sector has become more pronounced, in our view. Companies with superior execution, higher localisation and stable working capital profiles are better positioned to sustain valuation premiums (BEL, SOIL). In contrast, *integrators such as HNAL and BDL (earnings estimate are likely to be downgraded) typically face longer gestation cycles* and back-ended revenue recognition, while *electronics/subsystem players such as BEL and DPIL benefit from shorter execution cycles, lower import dependence and faster cash conversion, resulting in structurally better earnings visibility and return profiles.*

Q3FY26 expectations: We anticipate Q3FY26 to reaffirm the transition from order accumulation to delivery and execution quality, with select players (ex-HAL) better positioned to translate strong OB into sustainable earnings and valuation support. Overall, H2FY26E is likely to be materially stronger, as H2 is seasonally strong, driven by the need to meet government and internal targets.

Valuations: We believe the sector is entering a transition phase, eyeing execution and delivery across programmes. While incremental ordering should continue, the key monitorable is execution pace amid supply chain risks. Hence, recent valuation moderation offers selective entry opportunities, with preference for defence electronics/subsystem players given superior execution visibility and cash conversion, supported by sustained capex, indigenisation momentum and export traction. ***BEL is our top pick*** for its robust execution/backlog and steady margins while SOIL and DPIL offer compelling multi-year growth potential.

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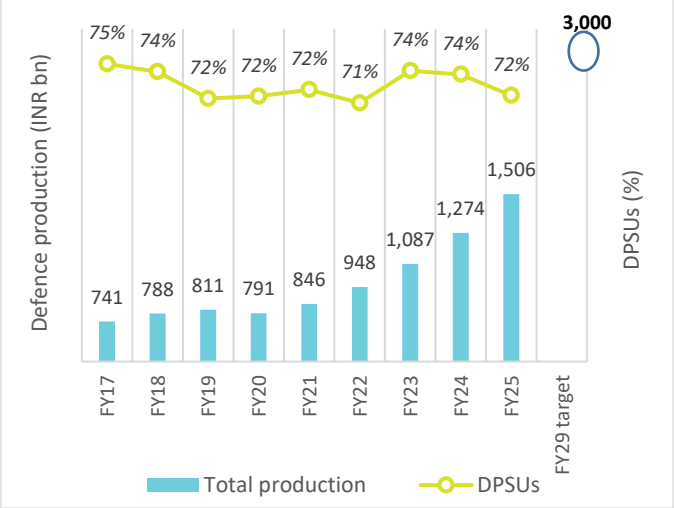
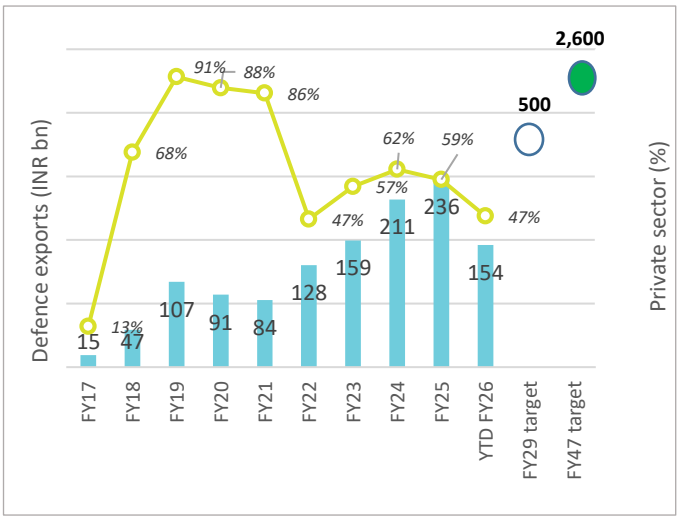
Focus charts

Exhibit 1: DPSUs dominate India's defence production (~60%)



Source: Ministry of Defence, Nuvama Research

Exhibit 2: Ambitious defence export targets at play



Source: Ministry of Defence, Nuvama Research

Exhibit 3: TAM mapping by company

Company	Core Offerings	Market Opportunity	FY25 sales (INRbn)
HNAL	Aircraft/Helicopters/Engines	Aircraft & Helicopters ~INR4tn+	310
BEL	Radars/EW/Comms/Naval sensors	Electronics ~INR1tn+	237
BDL	Missile systems	Missiles ~INR500-700bn	33
Data Patterns	Avionics, Mission systems, Radar integration	Electronics niche, LCA/UAVs ~INR20-30bn	7
Solar Industries	Ammunition, Propellants	Explosives (24-25% market share), UAVs, ammunitions	75
Zen Technologies	Simulations & UAVs	Training, exports, UAVs	9
MDL	Submarines/Warships	P-75I, Destroyers, Frigates ~INR2.4tn+	114
CSL	Shipbuilding, repairs	ICG/IN platforms ~INR2.2tn+	45
GRSE	Corvettes/Patrol Vessels	ICG/Patrol vessels ~INR470bn+	51
MIDHANI	Special alloys/materials	Engines, AMCA, Missiles	11
Bharat Forge	Artillery, land systems	ATAGS, FRCV, land systems	151

Source: Nuvama Research

Exhibit 4: Valuation snapshot

Company	Reco	TP (INR)	Revenue (INR bn)				EBITDA margins (%)				EPS (INR)				P/E (x)				RoE (%)			
			FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E	FY25	FY26E	FY27E	FY28E
BEL	BUY	520	237	279	334	396	28.6	28.5	28.0	27.5	7.2	8.5	9.9	11.6	57.7	49.2	42.1	36.0	29.6	28.4	27.3	26.5
ZEN	HOLD	1,400	9	8	12	16	33.7	33.0	32.5	32.0	29.1	25.0	36.3	46.4	42.2	49.1	33.8	26.4	24.6	12.6	16.0	17.4
SOIL	BUY	18,000	75	96	127	161	26.0	26.5	27.0	27.0	133.7	180.7	232.4	300.4	96.3	71.3	55.4	42.9	31.4	31.6	30.2	29.4
BDL	BUY	2,020	33	61	87	120	14.1	17.0	18.0	18.0	15.0	28.5	42.8	58.2	100.9	53.0	35.4	26.0	14.4	23.6	28.7	30.7
HNAL	BUY	5,800	310	352	444	500	31.1	29.0	28.0	27.5	124.3	130.7	146.7	157.6	35.9	34.1	30.4	28.3	26.0	22.8	21.4	19.6
DPIL	BUY	3,570	7	9	12	14	38.8	37.0	38.0	38.0	39.6	45.8	60.0	69.7	65.1	56.4	43.0	37.0	15.7	15.9	18.2	18.2

Source: Bloomberg, Nuvama Research

Exhibit 5: Peer comparison (PE versus EPS CAGR versus RoE)

Companies	Target PE	Current PE		EPS CAGR		Median ROE		EPS (FY27E) upgrade/downgrade by Street from May'25
		FY28E	FY30E	FY25–28E	FY25-30E	FY25–28E	FY25-30E	
Bharat Dynamics	40.0x	26.0x	20.7x	57.2%	37.8%	23.6%	25.2%	(18.6%)
Bharat Electronics	**45.0x**	**36.0x**	**26.0x**	**17.1%**	**17.0%**	**27.9%**	**26.9%**	**1.8%**
Data Patterns	**55.0x**	**37.0x**	**22.8x**	**20.7%**	**24.3%**	**17.0%**	**18.2%**	**1.9%**
Hindustan Aeronautics	38.0x	28.3x	22.7x	8.2%	9.8%	22.1%	20.5%	(5.0%)
Solar Industries	**60.0x**	**42.9x**	**27.1x**	**31.0%**	**28.7%**	**30.0%**	**29.2%**	**(2.8%)**
Zen Technologies	30.0x	26.4x	24.0x	16.8%	13.6%	16.7%	16.0%	(12.2%)

Source: Company, Nuvama Research

Exhibit 6: How do current valuations compare historically?

Company Name	CMP	Current PE (x)	Median	-1SD	+1SD	+2SD
Bharat Electronics	417	**37.1x**	19.3x	10.5x	28.2x	37.1x
Zen Technologies	1,228	**24.3x**	31.6x	26.3x	36.9x	42.1x
Solar Industries India	12,875	**47.1x**	31.8x	19.9x	43.6x	55.5x
Bharat Dynamics	1,514	**36.8x**	32.2x	22.1x	42.3x	52.4x
Hindustan Aeronautics	4,461	**26.3x**	22.5x	13.9x	31.1x	39.8x
Data Patterns	2,579	**34.6x**	39.4x	32.4x	46.4x	53.4x

Source: Bloomberg, Nuvama Research. Note: Above data based on consensus 2Y rolling forward PE.

Exhibit 7: Q3FY26 results expectations

Company	Particulars	Q3FY26E	Q3FY25	Q2FY26	*Growth (YoY)*	*Growth (QoQ)*	Comments
Bharat Electronics	Revenues	68,195	57,561	57,637	*18.5%*	*18.3%*	Expect 18–20% execution growth on the back of ~INR740bn backlog with margins comfortably attainable at ~28% levels driven by higher operational effeciency and localisation levels. BEL has been consistently beating Street's estimate as well as its own guidance on OPMs (~27% guidance versus 29.4% reported in Q2FY26). It remains the chief beneficiary of defence electronics across the sector value chain with better visibility of elevated OPMs on higher indigenisation efforts, cost efficiencies and better product mix provide us comfort, not to forget a ~INR1tn-plus pipeline over next 18–24 months. QRSAM order (INR300bn) is likely to materialise anytime soon given the Indian Army has rolled out its tender, which is potentially a significant re-rating trigger coupled with upwards of margin trajectory (27%-plus OPMs guided for FY26), in our view.
	EBITDA	19,094	16,533	16,953	*15.5%*	*12.6%*	
	PAT	14,872	13,161	12,861	*13.0%*	*15.6%*	
	Order inflows	60,165	22,611	53,577	*166.1%*	*12.3%*	
	Order book	7,36,501	7,11,000	7,44,530	*3.6%*	*-1.1%*	
	EBITDA Margin (%)	*28.0*	*28.7*	*29.4*			
Zen Technologies	Revenues	1,628	1,415	1,247	*15.0%*	*30.6%*	We expect a significant uptick on order inflow for Zen (on a very low base) backed by simulation/ADS orders received during the quarter after a subdued period. Management guided for INR6.5bn OI for the qaurter. We expect 15% topline growth basis these order inflows and ~33% OPMs led by execution of high-margin simulation orders in backlog. Having said that, we find an approaching earnings trough with a recovery likely only from H2FY27E (if ordering momentum is maintained). We believe timely ordering by MoD is one of the key asks along with meeting its 50% revenue CAGR, 35% OPM and 25% PAT margin guidance over the next two–three years. Recent partnership with AVT Simulation to enter US market, strategic acquisitions to foray into naval simulation/drones/robotics is directionally as well as strategically positive.
	EBITDA	537	367	418	*46.2%*	*28.5%*	
	PAT	561	386	462	*45.2%*	*21.4%*	
	Order inflows	5,540	17	32	*32601.7%*	*17248.3%*	
	Order book	8,757	8,169	4,845	*7.2%*	*80.7%*	
	EBITDA Margin (%)	*33.0*	*26.0*	*33.5*			
Solar Industries	Revenues	24,000	19,731	20,822	*21.6%*	*15.3%*	We expect healthy execution momentum with revenue growing ~22% YoY, supported by a recovery in domestic industrial explosives volumes that were hurt by heavy rains in H1FY26. Defence topline is likely at INR6.5bn, as trials were hindered due to adverse weather conditions in the Ladakh region, leading to execution deferrals with spillovers likely to materialise in Q4FY26. We expect margins of ~26%, driven by a higher contribution from defence and overseas revenues in the overall topline. Defence backlog of ~INR155bn provides earnings visibility for the next two–three years while anticipated PINAKA orders, estimated at INR40–60bn, would further strengthen the outlook beyond FY27–28E.
	EBITDA	6,238	5,265	5,528	*18.5%*	*12.8%*	
	PAT	3,921	3,149	3,450	*24.5%*	*13.7%*	
	EBITDA Margin (%)	*26.0*	*26.7*	*26.5*			
Data Patterns	Revenues	1,500	1,170	3,075	*28.1%*	*-51.2%*	We anticipate order inflows of ~INR5.5bn for DPIL, reflecting orders negotiated in the previous quarter, against a management-guided pipeline of ~INR10bn. This underpins a healthy pickup in execution, with revenues likely to grow ~28% YoY, driven by the strong order inflow momentum seen in H1FY26. We expect OPMs to recover sequentially, as a strategically important but competitively priced order that weighed on margins in the last quarter has already been executed. However, the ongoing capex phase is likely to pressure the bottom line and return ratios over the medium term, in our view.
	EBITDA	577	540	685	*6.9%*	*-15.7%*	
	PAT	444	447	492	*-0.5%*	*-9.7%*	
	Order inflows	5,500	2,403	1,671	*128.9%*	*229.1%*	
	Order book	10,736	10,947	6,736	*-1.9%*	*59.4%*	
	EBITDA Margin (%)	*38.5*	*46.2*	*22.3*			
Hindustan Aeronautics	Revenues	77,570	69,569	66,285	*11.5%*	*17.0%*	For the quarter, we expect only base order execution (+10% YoY growth), including engines and ROH, as no Tejas deliveries have commenced. Till now, a total of 5 GE engines have been delivered to HNAL, with no aircrafts delivered to Indian Airforce. We see the delivery schedule for the committed LCA Tejas deliveries in FY26E as quite tight. Our estimates currently build in only three deliveries for FY26E, which would contribute 5% to overall top line. This is because even the first two Tejas units are scheduled for delivery only by November, leaving a compressed window for the balance. HNAL to has a decadal long opportunity pipeline of ~INR4.7tn, which shall keep its order inflows ticking. However, execution ramp up of its large-scale programs sitting in its ~INR2tn-plus backlog is critical, along with navigating its ongoing supply chain challenges, particularly focusing on timely procurement of critical components as it cruises through an investment/R&D phase. We envisage higher product mix (~60% in FY27E versus ~23% in FY25), INR150bn capex over 4-5Y and inventories/receivables build-up to yield a ~11% EPS CAGR over next 3Y.
	EBITDA	18,617	16,901	15,591	*10.1%*	*19.4%*	
	PAT	17,338	14,326	16,625	*21.0%*	*4.3%*	
	Order inflows	6,61,200					
	EBITDA Margin (%)	*24.0*	*24.3*	*23.5*			
Bharat Dynamics	Revenues	11,650	8,321	11,470	*40.0%*	*1.6%*	Given a robust backlog of ~INR228bn at end-FY25, BDL is well positioned to achieve a revenue CAGR of over ~53% during FY25–28E, in our view. Although the company previously encountered supply chain disruptions due to its dependence on war affected nations such as Russia and Israel, we believe these challenges have now eased out. In this regard, going forward sustained/improved execution momentum along with maintaining current OPM levels shall be key triggers for the company.
	EBITDA	1,745	1,269	1,875	*37.5%*	*-6.9%*	
	PAT	1,953	1,471	2,159	*32.7%*	*-9.6%*	
	EBITDA Margin (%)	*15.0*	*15.2*	*16.3*			

Source: Company, Nuvama Research

Exhibit 8: BEL EPS sensitivity FY28

		Revenue CAGR (FY25–28E)				
		15.0%	16.0%	18.0%	20.0%	23.0%
FY28E OPMs (%)	26.5%	10.0	10.2	10.7	11.3	12.1
	27.0%	10.1	10.4	10.9	11.5	12.3
	27.5%	10.3	10.6	11.1	11.7	12.5
	28.0%	10.5	10.8	11.3	11.9	12.7
	28.5%	10.7	10.9	11.5	12.1	13.0

Source: Bloomberg, Nuvama Research

Exhibit 9: HNAL EPS sensitivity FY28

		Revenue CAGR (FY25–28E)				
		15.0%	16.5%	17.0%	18.0%	19.0%
FY28E OPMs (%)	26.0%	141.8	146.6	148.1	151.4	154.9
	27.0%	147.2	152.2	153.8	157.3	160.8
	27.5%	149.7	154.9	156.5	160.0	163.7
	28.0%	152.6	157.8	159.5	163.1	166.8
	29.0%	158.0	163.4	165.2	168.9	172.8

Source: Bloomberg, Nuvama Research

Exhibit 10: BDL EPS sensitivity FY28

		Revenue CAGR (FY25–28E)				
		30.0%	40.0%	45.0%	50.0%	55.0%
FY28E OPMs (%)	15.0%	36.8	42.2	45.2	48.5	51.9
	16.0%	38.3	44.1	47.4	50.8	54.5
	17.0%	39.9	46.0	49.5	53.2	57.1
	18.0%	41.4	48.0	51.7	55.6	59.7
	19.0%	43.0	49.9	53.8	58.0	62.4

Source: Bloomberg, Nuvama Research

Exhibit 11: DPIL EPS sensitivity FY28

		Revenue CAGR (FY25–28E)				
		19.0%	22.0%	25.0%	28.0%	30.0%
FY28E OPMs (%)	36.0%	57.5	61.3	65.5	69.7	72.6
	37.0%	59.1	63.1	67.4	71.7	74.8
	38.0%	60.8	64.8	69.3	73.7	76.9
	39.0%	62.4	66.6	71.2	75.8	79.0
	40.0%	64.1	68.4	73.1	77.8	81.2

Source: Bloomberg, Nuvama Research

Exhibit 12: SOIL EPS sensitivity FY28

		Revenue CAGR (FY25–28E)				
		20.0%	23.0%	25.0%	28.0%	30.0%
FY28E OPMs (%)	26.0%	220.4	241.6	257.2	280.8	296.4
	26.5%	225.9	247.5	263.4	287.5	303.4
	27.0%	231.4	253.5	269.7	294.2	310.4
	27.5%	236.9	259.4	275.9	300.9	317.4
	28.0%	242.4	265.3	282.1	307.6	324.4

Source: Bloomberg, Nuvama Research

Exhibit 13: ZEN EPS sensitivity FY28

		Revenue CAGR (FY25–28E)				
		14.6%	17.2%	19.8%	22.2%	24.6%
FY28E OPMs (%)	30.0%	38.8	41.3	43.7	46.2	48.6
	31.0%	40.0	42.5	45.1	47.6	50.2
	32.0%	41.2	43.8	46.4	49.1	51.7
	33.0%	42.4	45.1	47.8	50.5	53.2
	34.0%	43.6	46.3	49.1	51.9	54.7

Source: Bloomberg, Nuvama Research

Exhibit 14: BEL TP—QRSAM as an earnings optionality lever

FY25–28E	Bear case	Base case	Bull case
Revenues CAGR	13.9%	18.7%	19.2%
Avg. OPMs	27.7%	28.2%	28.3%
FY28E OPM	27.3%	27.5%	28.0%
EPS CAGR	**12.1%**	**17.1%**	**18.6%**
Mar'28E EPS	10.2	11.6	12.1
FY28 TP (x)	45	45	45
Price Target (INR)	**460**	**520**	**545**
Upside/Downside	*18.9%*	*34.5%*	*40.7%*

Source: Company, Nuvama Research

Bear Case: *No QRSAM Sales; margins remain steady*
Base Case: *QRSAM Sales from FY28 with steady margins*
Bull Case: *QRSAM Sales from FY28 with margin expansion*

Exhibit 15: HNAL scenario analysis: EPS CAGR of 8% over FY25–28E (base case)

FY25–28E	Bear case	Base case	Bull case
Revenues CAGR	13.9%	17.3%	18.8%
Avg. OPMs	29.5%	28.9%	28.9%
FY28E OPM	29.0%	27.5%	27.5%
EPS CAGR	7.2%	8.2%	9.3%
Sept'FY27E EPS	147.2	152.1	157.4
Target multiple (x)	35	38	38
Price Target (INR)	**5,151**	**5,800**	**6,000**
Upside/Downside	16.1%	30.7%	35.3%

Source: Company, Nuvama Research

Exhibit 16: BDL scenario analysis: EPS CAGR of 55%+ over FY25–28E (base case)

FY25–28E	Bear case	Base case
Order inflows CAGR	-34.4%	7.9%
Avg. OPMs	16.3%	16.8%
FY28E OPM	17.0%	18.0%
EPS CAGR	38.2%	57.2%
Sept'27E EPS	36.0	50.5
Target multiple (x)	40	40
Price Target (INR)	**1,441**	**2,020**
Upside/Downside	-5.0%	33.2%
Median ROE	19.8%	26.1%

Source: Company, Nuvama Research

Exhibit 17: DPIL scenario analysis: EPS CAGR of 20%+ over FY25–28E (base case)

FY25–28E	Bear case	Base case	Bull case
Revenues CAGR	18.6%	25.3%	31.5%
Avg. OPMs	37.5%	38.0%	38.2%
FY28E OPM	37.0%	38.0%	39.0%
EPS CAGR	14.1%	20.7%	27.3%
Sept'FY27E EPS	55.0	64.9	70.9
Target multiple (x)	55	55	55
Price Target (INR)	**3,025**	**3,570**	**3,900**
Upside/Downside	15.9%	36.7%	49.3%

Source: Company, Nuvama Research

Exhibit 18: SOIL scenario analysis: EPS CAGR of 31%+ over FY25–28E (base case)

FY25–28E	Bear case	Base case
Revenues CAGR	25.6%	28.8%
Avg. OPMs	26.0%	26.6%
FY28E OPM	26.0%	27.0%
EPS CAGR	25.0%	31.0%
Mar'28E EPS	260.8	300.4
Target multiple (x)	60	60
Price Target (INR)	**15,649**	**18,000**
Upside/Downside	22.0%	36.7%

Source: Company, Nuvama Research

Growth levers beyond FY28E

Exhibit 19: TAM mapping by company

Company	Core Offerings	Market Opportunity	FY25 sales (INR bn)
HAL	Aircraft/Helicopters/Engines	Aircraft & Helicopters ~INR4tn+	310
BEL	Radars/EW/Comms/Naval sensors	Electronics ~INR1tn+	237
BDL	Missile systems	Missiles ~INR500-700bn	33
Data Patterns	Avionics, Mission systems, Radar integration	Electronics niche, LCA/UAVs ~INR20-30bn	7
Solar Industries	Ammunition, Propellants	Explosives (24-25% market share), UAVs, ammunitions	75
Zen Technologies	Simulations & UAVs	Training, exports, UAVs	9
MDL	Submarines/Warships	P-75I, Destroyers, Frigates ~INR2.4tn+	114
CSL	Shipbuilding, repairs	ICG/IN platforms ~INR2.2tn+	45
GRSE	Corvettes/Patrol Vessels	ICG/Patrol vessels ~INR470bn+	51
MIDHANI	Special alloys/materials	Engines, AMCA, Missiles	11
Bharat Forge	Artillery, land systems	ATAGS, FRCV, land systems	151

Source: Nuvama Research

Exhibit 20: Peer comparison (PE versus EPS CAGR versus RoE)

Companies	Target PE	Current PE		EPS CAGR		Median ROE		EPS (FY27E) upgrade/downgrade by Street from May'25
		FY28E	FY30E	FY25–28E	FY25-30E	FY25–28E	FY25-30E	
Bharat Dynamics	40.0x	26.0x	20.7x	57.2%	37.8%	23.6%	25.2%	(18.6%)
Bharat Electronics	**45.0x**	**36.0x**	**26.0x**	**17.1%**	**17.0%**	**27.9%**	**26.9%**	**1.8%**
Data Patterns	**55.0x**	**37.0x**	**22.8x**	**20.7%**	**24.3%**	**17.0%**	**18.2%**	**1.9%**
Hindustan Aeronautics	38.0x	28.3x	22.7x	8.2%	9.8%	22.1%	20.5%	(5.0%)
Solar Industries	**60.0x**	**42.9x**	**27.1x**	**31.0%**	**28.7%**	**30.0%**	**29.2%**	**(2.8%)**
Zen Technologies	30.0x	26.4x	24.0x	16.8%	13.6%	16.7%	16.0%	(12.2%)

Source: Company, Nuvama Research

HNAL versus BEL

Bharat Electronics

- We reckon BEL has strong growth potential given **its ~INR750bn of backlog and ~INR1.1tn pipeline-led visibility** along with sustained OPMs beating Street's consensus and management's guidance.
- *We believe BEL has more positive catalysts/triggers than negative ones and continue to prefer it over HNAL*. Over the medium to long term, BEL's growth will be driven by earlier-than-expected development/ordering of Project Kusha, accelerated ordering for strategic systems, and improving traction in exports.
- BEL trades at ~36x FY28E EPS, at a premium to PSU peers at 25–30x, justified by its structurally superior margin profile (27–28% OPMs) and healthy return ratios (26–28% RoE). We model ~17.1% EPS CAGR over FY25–28E. Given BEL's relatively short-cycle exposure within defence electronics, compared with HNAL (system integrator), we believe BEL merits a sustained valuation premium to HNAL.

Hindustan Aeronautics

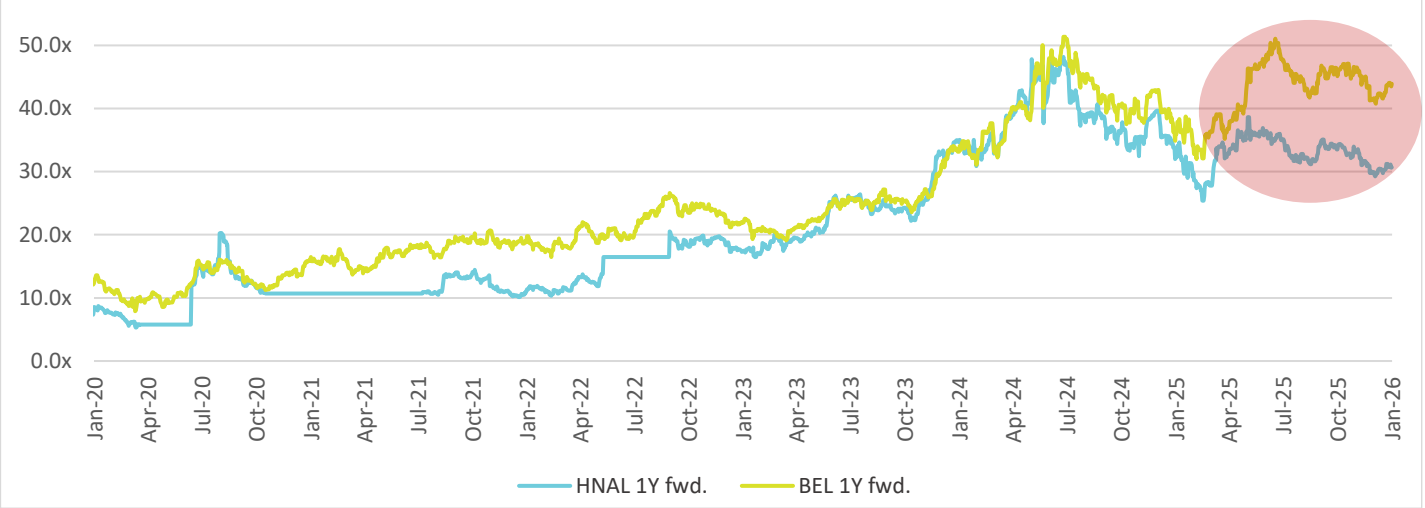
- With a **massive backlog of ~INR2tn**, we expect product deliveries (such as LCA Mk1A, LCH, RD-33 engines) to improve after two–three years of subdued execution caused by supply chain bottlenecks.
- With Tejas deliveries yet to commence, *we estimate that of the ten LCA units targeted in FY26, only three may materialise, representing roughly ~5% of FY26 sales*. Going forward, as platform deliveries scale up, an *adverse shift in product mix is likely to weigh on OPMs*, which we expect to moderate to 26–27% from 31.1% in FY25.
- HNAL trades at ~28x FY28E EPS, with an EPS CAGR of ~8% over FY25–28E. We remain cautiously positive on the stock, with scope for consensus earnings upgrades contingent on a visible acceleration in platform deliveries over the coming quarters.

Exhibit 21: BEL versus HAL financial snapshot

	Bharat Electronics						Hindustan Aeronautics					
Particulars (INR mn)	**FY23**	**FY24**	**FY25**	**FY26E**	**FY27E**	**FY28E**	**FY23**	**FY24**	**FY25**	**FY26E**	**FY27E**	**FY28E**
Order inflows	2,03,440	3,54,134	1,87,150	5,70,000	2,85,000	3,13,500	2,59,906	4,05,069	11,99,757	8,99,817	5,00,298	7,50,448
Order book	6,06,900	7,59,340	7,16,500	10,12,777	9,73,332	9,04,983	8,17,840	9,41,290	18,40,000	23,87,656	24,43,654	26,94,101
Book to bill rate	3.4x	3.8x	3.0x	3.6x	2.9x	2.3x	3.0x	3.1x	5.9x	6.8x	5.5x	5.4x
Revenues	1,76,462	2,01,694	2,36,580	2,79,383	3,34,326	3,95,720	2,69,279	3,03,808	3,09,809	3,52,162	4,44,301	5,00,000
Gross margin (%)	44.4%	47.6%	48.5%	50.5%	49.5%	49.0%	62.4%	63.5%	60.3%	57.5%	56.0%	55.0%
EBITDA margin (%)	22.9%	24.8%	28.6%	28.5%	28.0%	27.5%	27.0%	32.1%	31.1%	29.0%	28.0%	27.5%
PAT margin (%)	17.0%	19.9%	22.4%	22.2%	21.7%	21.4%	21.6%	25.0%	26.8%	24.8%	22.1%	21.1%
Receivable days	202	130	127	134	138	158	180	184	218	220	235	235
Payable days	142	121	105	119	136	143	103	108	126	120	120	120
Inventory days	223	239	247	245	227	225	478	418	517	530	550	550
Cash conversion cycle	282	248	269	260	229	240	556	494	609	630	665	665
Cash from operations (CFO)	10,866	46,480	4,804	73,171	49,020	25,581	88,355	82,257	1,36,451	63,534	-44,395	31,615
ROE	23.5%	27.1%	29.6%	28.4%	27.3%	26.5%	27.2%	28.9%	26.0%	22.8%	21.4%	19.6%
ROCE	31.3%	36.0%	39.7%	37.9%	36.5%	35.4%	27.4%	29.0%	26.0%	22.8%	21.5%	19.6%
Fixed asset turn (x)	6.8x	7.4x	8.0x	8.6x	9.9x	11.4x	3.0x	3.4x	3.3x	3.3x	3.8x	3.7x
Sale of services	**10.0%**	**10.1%**	**9.5%**	**8.8%**	**8.2%**	**7.6%**	**51.1%**	**47.0%**	**50.0%**	**55.0%**	**50.0%**	**45.0%**

Source: Company, Nuvama Research

Exhibit 22: HNAL versus BEL one-year forward



Source: Bloomberg, Nuvama Research

Other Defence stocks

Data Patterns

- We view DPIL as one of the few industry players actively developing indigenous prototypes to replace imports. *Its robust margin profile, among the highest in the sector*, alongside an improving earnings CAGR (21% over FY25–28E), should drive a recovery in RoE/RoCE (18.2%/25.2% in FY28E versus 15.7%/21.5% in FY25), currently suppressed due to the ongoing high-capex phase.
- Beyond FY28E, we expect a sharper uptick in order inflows and execution, supported by large platform orders, rising exports and accelerated ordering of defence electronics across the armed forces.
- DPIL trades at a premium to most peers, driven by its robust margin profile and niche positioning in indigenous product development, and is currently trading at ~38x FY28E EPS. We envisage ~21% EPS CAGR over FY25–28E.

Bharat Dynamics

- Despite a ~23% OI CAGR over past four years with INR228bn backlog, BDL's *execution remained constrained due to high import dependence on war-affected geographies such as Israel and Russia.* With supply-chain pressures easing and incremental progress in backward integration, execution is likely to improve.
- That said, we *expect margins to remain structurally below the sub-20% levels*, given intensifying competition in the missile segment from private players.
- Beyond FY28E, we foresee potential stress on order inflows as private players such as Adani, TASL, L&T and SOIL scale up capabilities, which could further compress margins over the medium term.
- From a valuation standpoint, BDL trades at ~27x FY28E EPS. Since May-25, the stock has seen a downward earnings revision trajectory, reflecting execution constraints and supply-chain risks, although recent easing in supply chain has begun to improve earnings visibility.

Solar Industries

- We view SOIL as a structurally high-growth company. *In the defence segment, backlog exceeds INR155bn, of which INR85bn is from exports*.
- The company is enhancing capabilities by entering focused segments such as UAVs, medium and large carbine ammunition, and strategic systems, and we expect defence to account for ~50% of the mix by FY28E.
- Beyond FY28E, a strong domestic/export pipeline, scaling up of new defence platforms (Bhargavastra, Pinaka ER, ATGMs, advanced UAVs, medium/large ammunitions), incremental capex (INR127bn MoU with Maharashtra government) and continued expansion of international non-defence business across existing and new geographies, shall accelerate growth in our view.
- SOIL has seen a sharp correction following the Jun-25 rally, driven by elevated valuation concerns amid broader market weakness. We believe the downside is largely priced in, with the high-margin defence segment acting as a key catalyst for re-rating as revenues scale up. The robust order book of INR155bn, including INR85bn of exports, provides strong visibility on revenue growth over the next three–four years. Consequently, we reckon SOIL shall deliver a healthy EPS CAGR of 31% over FY25–28E.

Zen Technologies

- Given the *weak ordering momentum, we find an approaching earnings trough* for Zen with a recovery likely only H2FY27E onwards (contingent to sustenance of ordering pick up).
- We believe timely ordering by MoD is one of the key asks along with meeting its 50% revenue CAGR, 35% OPM and 25% PAT margin guidance over next two–three years.
- Beyond FY28E, Zen's growth shall be driven by scaling up of its simulation and training portfolio, supported by repeat orders, higher-value integrated solutions and export traction. Subsidiaries should add incremental growth, with UTS benefiting from training aids demand, ARIPL scaling up in naval/maritime simulations, and Vector providing niche technology optionality.
- With expectations anchored to a strong FY27–28 rebound, any further slippage in order intake or execution could weigh on sentiment and further earning downgrades. Near-term performance remains a key swing factor for valuation, even as long-term fundamentals remain intact.

Bharat Electronics (BUY, TP: INR520)

Q2FY26: Consistent margin beat; robust backlog reinforces outlook

- Revenue surged 26% YoY and OPM came in at 29.4% (versus Street's estimate of 26.8%), beating consensus significantly.
- OI surged ~2x YoY (but down 30% QoQ) to INR53.6bn, bulking up backlog to INR747bn (~3x FY25 sales).
- Management reiterated FY26 guidance with revenue growth of 15%-plus, 27% OPM and planned capex of ~INR10bn.
- Retain '**BUY**' as our top pick on consistent margin outperformance and order accretion. Higher localisation content, a favourable product mix and cost/operational efficiencies shall bolster earnings momentum, in our view. We value the stock at 45x on Mar-28E EPS, yielding a TP of INR520.

Exhibit 23: FY28E EPS sensitivity

		Revenue CAGR (FY25–28E)				
		15.0%	16.0%	18.0%	20.0%	23.0%
FY28E OPMs (%)	26.5%	10.0	10.2	10.7	11.3	12.1
	27.0%	10.1	10.4	10.9	11.5	12.3
	27.5%	10.3	10.6	11.1	11.7	12.5
	28.0%	10.5	10.8	11.3	11.9	12.7
	28.5%	10.7	10.9	11.5	12.1	13.0

Source: Nuvama Research

A lowdown on key factors to watch

- **Improving order visibility backed by strong execution discipline**: Strong order inflows of ~INR172bn YTD versus FY26 guidance of INR270bn provides near-term revenue visibility while a shift toward INR200–300bn of sustainable annual smaller orders reduces inflow lumpiness. Importantly, management's confidence of 90–95% on-time delivery, supported by robust H1FY26 execution across ~INR40bn of complex programs and a well-diversified backlog across three armed forces, meaningfully differentiates BEL on execution versus peers.
- **Margin sustainability looks more anchored:** Management has reiterated 27%-plus OPM guidance (28.8% in H1FY26) backed by stable product mix across H1/H2 and rising indigenisation, which thereby improves earnings confidence. High SKU diversity (350-plus equipment, 1,000-plus sub-items) limits pricing pressure from any single programme while R&D (INR16bn) and capex (INR10bn) are measured and not margin-dilutive.
- **Medium-to-long-term optionality strengthens (QRSAM, KUSHA, AMCA):** QRSAM is a five–six year programme with meaningful revenue contribution beyond FY27–28, improving long-term execution certainty. Project KUSHA has emerged as a visible long-cycle opportunity with potential order value exceeding INR300bn, albeit with production orders expected only post-FY29. Furthermore, BEL's positioning in the AMCA programme has strengthened, with subsystem development alongside ADA ensuring participation irrespective of the final integrator selection while avoiding any near-term, capex-intensive commitments.

- **Valuation hinges on execution/margins consistency:** BEL trades at ~36x FY28E EPS, at a premium to PSU peers (20–25x), reflecting its structurally superior margin profile (27–28% OPMs) and return ratios (26–28% RoE). With management reaffirming growth and margin guidance, valuation sensitivity is now predominantly linked to execution delivery rather than order inflows. Any slippage versus the guided 27% OPM or 15% revenue growth could therefore trigger a disproportionate near-term de-rating, in our view.

Exhibit 24: Pipeline over next 12–18 months

Bharat Electronics (12-18 months)		
Platforms	**Cost (INR bn)**	**Expected Timeline**
Base orders (upgrades, maintenance, spares etc.)	200	INR200bn p.a.
Weather radar	25	FY26-28
EW Suite for MI-17 *	**20**	**Order received**
Atulya radar *	**20**	**Order received**
Ashwini radar *	**25**	**Order received**
Shakti Phase-4	20	FY26-28
QRSAM (weapon system)	250	FY26-28
MFR-X radar for NGME ships	20	FY26-28
GBMES system	20	FY26-28
Mountain radar	20	FY26-28
MRSAM	70	FY26-28
MF STAR variants for NGC (P75-I)	70	FY26-28
Other large programs	400	FY26-28
Total opportunity	**1,095**	

Source: Company, Nuvama Research

Exhibit 25: QRSAM as an earnings optionality lever

FY25–28E	Bear case	Base case	Bull case
Revenues CAGR	13.9%	18.7%	19.2%
Avg. OPMs	27.7%	28.2%	28.3%
FY28E OPM	27.3%	27.5%	28.0%
EPS CAGR	**12.1%**	**17.1%**	**18.6%**
Mar'28E EPS	10.2	11.6	12.1
FY28 target multiple (x)	45	45	45
Price Target (INR)	**460**	**520**	**545**
Upside/Downside	18.9%	34.5%	40.7%

Source: Company, Nuvama Research

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	2,36,580	2,79,383	3,34,326	3,95,720
Gross profit	1,14,770	1,41,088	1,65,492	1,93,903
Employee costs	27,344	33,526	37,445	43,529
Other expenses	19,751	27,938	34,436	41,551
EBITDA	67,676	79,624	93,611	1,08,823
Depreciation	4,356	4,570	4,886	6,330
Less: Interest expense	96	101	106	111
Add: Other income	7,676	7,706	8,097	10,737
Profit before tax	70,900	82,659	96,717	1,13,119
Prov for tax	18,017	20,665	24,179	28,280
Less: Other adj	0	0	0	0
Reported profit	52,883	61,994	72,537	84,839
Less: Excp.item (net)	0	0	0	0
Adjusted profit	52,883	61,994	72,537	84,839
Diluted shares o/s	7,310	7,310	7,310	7,310
Adjusted diluted EPS	7.2	8.5	9.9	11.6
DPS (INR)	2.2	2.6	3.0	3.5
Tax rate (%)	25.4	25.0	25.0	25.0

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	7,310	7,310	7,310	7,310
Reserves	1,89,667	2,32,809	2,83,288	3,42,327
Shareholders funds	1,96,977	2,40,119	2,90,597	3,49,637
Minority interest	0	0	0	0
Borrowings	0	0	0	0
Trade payables	33,151	56,833	69,384	88,468
Other liabs & prov	1,58,493	1,85,699	2,06,123	2,28,805
Total liabilities	3,98,840	4,92,869	5,76,324	6,77,129
Net block	31,242	32,702	33,847	34,550
Intangible assets	489	509	528	545
Capital WIP	10,436	10,436	10,436	10,436
Total fixed assets	42,167	43,647	44,811	45,531
Non current inv	8,204	8,204	8,204	8,204
Cash/cash equivalent	93,973	1,49,947	1,78,956	1,82,424
Sundry debtors	90,920	1,14,815	1,37,394	2,05,991
Loans & advances	81	0	0	0
Other assets	1,63,495	1,76,257	2,06,959	2,34,978
Total assets	3,98,840	4,92,869	5,76,324	6,77,129

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
COGS (% of rev)	51.5	49.5	50.5	51.0
Employee cost (% of rev)	11.6	12.0	11.2	11.0
Other exp (% of rev)	8.3	10.0	10.3	10.5
EBITDA margin (%)	28.6	28.5	28.0	27.5
Net profit margin (%)	22.4	22.2	21.7	21.4
Revenue growth (% YoY)	16.2	18.9	18.5	17.7
EBITDA growth (% YoY)	35.4	17.7	17.6	16.2
Adj. profit growth (%)	31.5	17.2	17.0	17.0

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	52,883	61,994	72,537	84,839
Add: Depreciation	4,356	4,570	4,886	6,330
Interest (net of tax)	72	76	79	83
Others	11,509	(7,781)	(8,177)	(10,821)
Less: Changes in WC	(64,015)	14,312	(20,306)	(54,851)
Operating cash flow	4,804	73,171	49,020	25,581
Less: Capex	10,010	6,050	6,050	7,050
Free cash flow	(5,206)	67,121	42,970	18,531

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.5	6.6	7.0	7.5
Repo rate (%)	6.3	5.0	4.5	5.5
USD/INR (average)	84.6	87.5	87.0	88.0
Order inflow	187.2	570.0	285.0	313.5
Rev growth (% YoY)	17.3	18.1	19.7	18.4
EBITDA margin (%)	28.6	28.5	28.0	27.5
Depreciation (% of FA)	7.2	6.8	6.6	7.9
Tax rate (%)	25.4	25.0	25.0	25.0
Capex (INR mn)	10,010.3	6,050.0	6,050.0	7,050.0

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	29.6	28.4	27.3	26.5
RoCE (%)	39.7	37.9	36.5	35.4
Inventory days	247	245	227	225
Receivable days	127	134	138	158
Payable days	105	119	136	143
Working cap (% sales)	25.0	15.8	19.6	31.0
Gross debt/equity (x)	0	0	0	0
Net debt/equity (x)	(0.5)	(0.6)	(0.6)	(0.5)
Interest coverage (x)	658.9	743.8	837.4	921.3

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	58.9	50.2	42.9	36.7
Price/BV (x)	15.8	13.0	10.7	8.9
EV/EBITDA (x)	44.6	37.2	31.4	26.9
Dividend yield (%)	0.5	0.6	0.7	0.8

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	31.5	17.2	17.0	17.0
RoE (%)	29.6	28.4	27.3	26.5
EBITDA growth (%)	35.4	17.7	17.6	16.2
Payout ratio (%)	30.4	30.4	30.4	30.4

Source: Company and Nuvama estimates

Bharat Dynamics (BUY; TP: INR2,020)

Q2FY26: Strong execution momentum amid margin normalisation

- Revenue shot up 110% YoY to INR11.5bn in Q2FY26, however, OPM contracted 180bp YoY to 16.3% on lower GM and an unfavourable product mix.
- Given a more than INR228bn backlog (~7x FY25 sales) and a strong INR428bn pipeline, we see strong growth visibility even assuming lower margins (due to increasing competition).
- Retain **'BUY'**, factoring in revenue/EPS CAGR of ~53%/57% over FY25–28E, backed by a robust OB and improved execution as supply chain constraints have eased, in our view. On Sep-27E EPS of INR51, we value the stock at 40x, arriving at a TP of INR2,020.

Exhibit 26: FY28E EPS sensitivity

		Revenue CAGR (FY25–28E)				
		30.0%	40.0%	45.0%	50.0%	55.0%
FY28E OPMs (%)	15.0%	36.8	42.2	45.2	48.5	51.9
	16.0%	38.3	44.1	47.4	50.8	54.5
	17.0%	39.9	46.0	49.5	53.2	57.1
	18.0%	41.4	48.0	51.7	55.6	59.7
	19.0%	43.0	49.9	53.8	58.0	62.4

Source: Nuvama Research

A lowdown on key factors to watch

- **Tightening margins amid a crowding space:** BDL remains India's principal missile integrator, but the ecosystem around it is evolving rapidly. Large private players such as Reliance, Tata Advanced Systems, Kalyani, L&T and Adani are aggressively expanding their design, integration and subsystem capabilities, often through collaborations with foreign OEMs. This acceleration in private-sector capability, in our view, will intensify competition for upcoming missile programmes and drive more competitive pricing, ultimately exerting pressure on BDL's margins (16.3% in Q2FY26 versus 18.1% in Q2FY25).
- **Execution needs to hold up:** BDL's revenue growth has been modest over the past five years (~2% CAGR in FY20–25). Execution has picked up meaningfully over the last few quarters (H1FY26 revenue up 89.5% YoY). Sustaining this momentum is critical, especially with a sizeable order backlog of INR226bn (~7x FY25 sales) awaiting delivery. In our view, continued improvement in execution will be viewed as positively by the Street, as it remains central to unlocking growth from this large backlog.
- **Strong visibility backed by robust pipeline:** We estimate a pipeline of ~INR428bn for BDL over the next few years. Key upcoming programmes, including the INR300bn QRSAM project (with an expected 25-30% share for BDL), Astra Mk-I/II, LRLACM and other missile systems, should meaningfully augment the order backlog and support sustained growth visibility.
- **New avenues for growth:** BDL is targeting INR100bn turnover by FY31. Its diversification into guided bombs, drone-delivered payloads, warheads, cruise-missile engines, space products, propellants and rockets opens gateways. By 2029, the company also aims to derive ~25% of revenue from exports, led by ATGMs, SAMs, AAMs, underwater weapons and avionics.

Exhibit 27: BDL's pipeline over next three–four years

Bharat Dynamics Limited (2025-29)		
Platforms	**Cost (INR bn)**	**Expected Timeline**
Base orders (SAMs, torpedoes, spares, refurbishment)	20	INR20bn p.a.
Astra Mk I	113	FY25-29
Astra Mk II	3	FY26-27
MRSAM *	**30**	**Order received**
Invar ATGM*	**21**	**Order received**
QRSAM	88	FY27-28
LBRM	48	FY25-26
SAAW	10	FY25-26
NAG/Helina ATGM	5	FY25-26
Spike ER2	3	FY25-26
LRLACM	140	FY27-28
Total opportunity	**428**	

Source: Company, Nuvama Research

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	33,451	61,237	86,797	1,20,235
Gross profit	16,672	30,013	41,663	57,713
Employee costs	5,488	8,573	9,548	12,024
Other expenses	6,460	11,023	16,491	24,047
EBITDA	4,724	10,417	15,623	21,642
Depreciation	707	731	737	742
Less: Interest expense	33	52	56	66
Add: Other income	3,504	4,315	6,084	7,616
Profit before tax	7,488	13,949	20,915	28,450
Prov for tax	1,991	3,487	5,229	7,113
Less: Other adj	0	0	0	0
Reported profit	5,496	10,462	15,686	21,338
Less: Excp.item (net)	0	0	0	0
Adjusted profit	5,496	10,462	15,686	21,338
Diluted shares o/s	367	367	367	367
Adjusted diluted EPS	15.0	28.5	42.8	58.2
DPS (INR)	0.7	5.7	8.6	11.6
Tax rate (%)	26.6	25.0	25.0	25.0

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	1,833	1,833	1,833	1,833
Reserves	38,257	46,626	59,175	76,245
Shareholders funds	40,090	48,459	61,008	78,078
Minority interest	0	0	0	0
Borrowings	0	0	0	0
Trade payables	15,056	20,531	29,677	41,111
Other liabs & prov	62,280	62,280	62,280	62,280
Total liabilities	1,17,425	1,31,269	1,52,965	1,81,468
Net block	8,571	8,639	8,702	8,760
Intangible assets	0	0	0	0
Capital WIP	1,171	1,171	1,171	1,171
Total fixed assets	9,742	9,811	9,874	9,932
Non current inv	39	39	39	39
Cash/cash equivalent	41,904	60,619	69,223	77,752
Sundry debtors	8,264	8,389	11,890	16,471
Loans & advances	44	44	44	44
Other assets	54,795	49,730	59,258	74,594
Total assets	1,17,425	1,31,269	1,52,965	1,81,468

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
COGS (% of rev)	50.2	51.0	52.0	52.0
Employee cost (% of rev)	16.4	14.0	11.0	10.0
Other exp (% of rev)	19.3	18.0	19.0	20.0
EBITDA margin (%)	14.1	17.0	18.0	18.0
Net profit margin (%)	16.4	17.1	18.1	17.7
Revenue growth (% YoY)	41.2	83.1	41.7	38.5
EBITDA growth (% YoY)	(12.0)	120.5	50.0	38.5
Adj. profit growth (%)	(10.3)	90.3	49.9	36.0

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	5,456	10,462	15,686	21,338
Add: Depreciation	707	731	737	742
Interest (net of tax)	(2,966)	(4,263)	(6,028)	(7,550)
Others	0	0	0	0
Less: Changes in WC	(3,701)	10,415	(3,882)	(8,483)
Operating cash flow	1,674	17,345	6,512	6,047
Less: Capex	2,827	800	800	800
Free cash flow	(1,154)	16,545	5,712	5,247

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.3	6.3	6.3	6.3
Repo rate (%)	5.3	5.3	5.3	5.3
USD/INR (average)	82.0	82.0	82.0	82.0
Domestic rev gwth (%)	41.2	83.1	41.7	38.5
Exports rev gwth (%)	281.2	98.7	(87.3)	12.0
Gross margin (%)	49.8	49.0	48.0	48.0
EBITDA margin (%)	14.1	17.0	18.0	18.0
Tax rate (%)	26.6	25.0	25.0	25.0
Capex (INR mn)	(2,827.4)	(800.0)	250.0	270.0

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	14.4	23.6	28.7	30.7
RoCE (%)	19.7	31.6	38.3	41.0
Inventory days	503	280	211	225
Receivable days	62	50	43	43
Payable days	251	208	203	207
Working cap (% sales)	(46.2)	(42.2)	(25.3)	(11.2)
Gross debt/equity (x)	0	0	0	0
Net debt/equity (x)	(1.0)	(1.3)	(1.1)	(1.0)
Interest coverage (x)	121.4	186.1	268.0	316.0

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	101.1	53.1	35.4	26.0
Price/BV (x)	13.9	11.5	9.1	7.1
EV/EBITDA (x)	108.8	47.5	31.1	22.1
Dividend yield (%)	0	0.4	0.6	0.8

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	(10.3)	90.3	49.9	36.0
RoE (%)	14.4	23.6	28.7	30.7
EBITDA growth (%)	(12.0)	120.5	50.0	38.5
Payout ratio (%)	4.3	20.0	20.0	20.0

Source: Company and Nuvama estimates

Hindustan Aeronautics (BUY, TP: INR5,800)

Q2FY26: Steady revenue momentum; GM/high provisions curb OPM

- Revenue rose 10.9% YoY to INR66.3bn driven by steady execution of base orders. OPM contracted to 23.5% (from 27.4% in Q2FY25) on weaker GM and 2x YoY higher provisioning.
- During the quarter, HNAL secured contract worth INR624bn for 97 additional LCA Tejas Mk1A fighter jets, expanding its backlog to ~INR2.3tn (~7× FY25 sales).
- HNAL expects 8–10% revenue growth with stable OPM of 30–31%, and has earmarked capex of INR150bn for the next four–five years.
- Retain '**BUY**', with a long-term lens, baking in ~17% revenue CAGR over FY25–28E led by base orders (ROH, AL-31FP/RD-33 engines) amid slower Tejas deliveries, capping EPS CAGR to ~8% and RoE at ~20% by FY28E. We value the stock on Sep-27E EPS of INR152 at 38x, yielding a TP of INR5,800.

Exhibit 28: FY28E EPS sensitivity

		Revenue CAGR (FY25–28E)				
		15.0%	16.5%	17.0%	18.0%	19.0%
FY28E OPMs (%)	26.0%	141.8	146.6	148.1	151.4	154.9
	27.0%	147.2	152.2	153.8	157.3	160.8
	27.5%	149.7	154.9	156.5	160.0	163.7
	28.0%	152.6	157.8	159.5	163.1	166.8
	29.0%	158.0	163.4	165.2	168.9	172.8

Source: Nuvama Research

A lowdown on key factors to watch

- **Tejas delivery delays emerge as key overhang:** HNAL has received five GE-404 engines for its LCA Tejas Mk1 fleet. While this development is sentimentally positive, we see delivery schedule for the committed ~8–10 LCA Tejas deliveries (versus 12 units earlier) in FY26E as quite tight. We currently factor only three deliveries in FY26E, contributing ~5% to top line, given that the first aircraft is yet to be handed over. This leaves a compressed execution window for the remaining units and elevates delivery-slippage risk. *See EPS sensitivity* basis LCA Tejas deliveries over FY26E–28E.
- **Broader platform delays keep execution in focus:** Execution risk extends beyond Tejas. Key platforms such as ALH Dhruv, Dornier, HTT-40, etc are reporting delays driven by global supply-chain constraints and domestic regulatory bottlenecks. This is reflected in HNAL's muted 11% YoY top-line growth in H1FY26, which was largely supported by base-order execution, in our view. While HAL is working to localise critical components through partnerships with MIDHANI and PTC Industries, we believe that these initiatives are still insufficient to materially improve confidence in platform-led growth.
- **Increasing competition in combat aircraft segment:** The competitive landscape is evolving, with Indian private players and other PSUs, organised through consortium structures, entering what has historically been a HAL-dominated combat aircraft ecosystem. Multiple consortiums including L&T–BEL–Dynamatic Technologies, Bharat Forge–BEML–Data Patterns, Goodluck India–BATL–Axiscades and Adani Defence & Aerospace–MTAR Technologies are participating in the upcoming AMCA bid process, potentially diluting HAL's incumbency advantage over the medium term.

- **Growing backlog (~INR2tn) and staggering pipeline (~INR4tn):** Despite rising competition, we believe HAL will continue to remain the primary integrator and supplier of fighter jets and combat helicopters to the Indian armed forces, as meaningful private-sector participation in full-platform integration is still some time away. Accordingly, it is poised to capitalise on the decade-long opportunity with a staggering pipeline of ~INR4tn-plus, over and above its ~INR2tn backlog (7x FY25 sales).

Exhibit 29: HNAL's ~INR4tn pipeline

Hindustan Aeronautics Limited (2026-35)		
Platforms	**Cost (INR bn)**	**Expected Timeline**
Helicopters		
Light Utility Helicopters (LUH)	266	Spread over a decade
Light Combat Helicopters (LCH) *	**627**	**Order received**
Advanced Light Helicopter (ALH)	340	FY26-28
Naval Utility Helicopter (NUH)	217	FY25-26
Indian Multi-Role Helicopter (IMRH)/ DBMRH	942	FY28-29
Aircrafts		
Light Combat Aircraft (LCA) Mark 1A *	**624**	**Order received**
Light Combat Aircraft (LCA) Mark 2	960	FY29-30
Sukhoi-30 MKI *	**135**	**Order received**
Dornier-228 Mid Life Upgrade *	**29**	**Order received**
Advanced Medium Combat Aircraft (AMCA)	1,134	FY34-35
Twin Engine Deck Based Fighter (TEDBF)	140	FY32-33
Dornier-228 (Indian Navy)	20	FY26-27
Dornier-228 Upgrade (IAF)	48	FY26-27
Engine		
AL-31 FP *	**260**	**Order received**
Total opportunity	**4,000**	

Source: Company, Nuvama Research

EPS sensitivity basis LCA Tejas deliveries

Exhibit 30: FY26E EPS sensitivity

		LCA delivery (nos.) - FY26E				
	FY26E EPS	1	2	3	4	5
EBITDA Margin (%) - FY26E	27.0%	120.8	122.1	123.5	124.8	126.1
	28.0%	124.8	126.2	127.5	128.9	130.3
	29.0%	128.6	130.1	131.5	132.9	134.4
	29.5%	130.7	132.2	133.6	135.1	136.6
	30.0%	132.7	134.2	135.7	137.2	138.7

Source: Nuvama Research

Exhibit 31: FY27E EPS sensitivity

		LCA delivery (nos.) - FY27E				
	FY27E EPS	9	10	11	12	13
EBITDA Margin (%) - FY27E	26.5%	132.9	134.2	135.5	136.8	138.1
	27.0%	135.3	136.6	138.0	139.3	140.6
	28.0%	140.1	141.5	142.9	144.3	145.6
	28.5%	142.5	143.9	145.3	146.7	148.2
	29.0%	144.9	146.4	147.8	149.2	150.7

Source: Nuvama Research

Exhibit 32: FY28E EPS sensitivity

		LCA delivery (nos.) - FY28E				
	FY28E EPS	13	14	16	18	20
EBITDA Margin (%) - FY28E	26.0%	142.8	144.1	146.6	149.2	151.7
	27.0%	148.3	149.6	152.2	154.9	157.5
	27.5%	151.0	152.3	155.0	157.7	160.4
	28.0%	153.7	155.1	157.8	160.6	163.4
	28.5%	156.4	157.8	160.6	163.5	166.3

Source: Company

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	3,09,809	3,52,162	4,44,301	5,00,000
Gross profit	1,86,684	2,02,493	2,48,808	2,75,000
Employee costs	57,177	63,389	79,974	88,500
Other expenses	17,817	17,608	22,215	25,000
EBITDA	96,217	1,02,035	1,24,288	1,37,369
Depreciation	13,644	14,843	19,966	20,787
Less: Interest expense	86	106	133	150
Add: Other income	25,655	29,448	26,625	24,088
Profit before tax	1,08,141	1,16,534	1,30,814	1,40,521
Prov for tax	25,032	29,134	32,703	35,130
Less: Other adj	0	0	0	0
Reported profit	83,109	87,401	98,110	1,05,391
Less: Excp.item (net)	0	0	0	0
Adjusted profit	83,109	87,401	98,110	1,05,391
Diluted shares o/s	669	669	669	669
Adjusted diluted EPS	124.3	130.7	146.7	157.6
DPS (INR)	40.0	26.1	29.3	31.5
Tax rate (%)	23.1	25.0	25.0	25.0

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	3,344	3,344	3,344	3,344
Reserves	3,45,085	4,15,005	4,93,493	5,77,806
Shareholders funds	3,48,429	4,18,349	4,96,837	5,81,150
Minority interest	0	0	0	0
Borrowings	0	0	0	0
Trade payables	51,108	49,206	64,271	73,973
Other liabs & prov	6,61,594	6,61,594	6,61,594	6,61,594
Total liabilities	10,61,131	11,29,149	12,22,703	13,16,717
Net block	66,634	81,792	91,826	1,16,039
Intangible assets	0	0	0	0
Capital WIP	30,978	30,978	30,978	30,978
Total fixed assets	97,612	1,12,769	1,22,803	1,47,017
Non current inv	16,274	16,274	16,274	16,274
Cash/cash equivalent	3,81,708	4,27,104	3,59,578	3,49,054
Sundry debtors	2,05,367	2,12,262	2,86,057	3,21,918
Loans & advances	1,27,734	1,27,734	1,27,734	1,27,734
Other assets	2,45,904	2,46,474	3,23,724	3,68,188
Total assets	10,61,131	11,29,149	12,22,703	13,16,717

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
COGS (% of rev)	39.7	42.5	44.0	45.0
Employee cost (% of rev)	18.5	18.0	18.0	17.7
Other exp (% of rev)	5.8	5.0	5.0	5.0
EBITDA margin (%)	31.1	29.0	28.0	27.5
Net profit margin (%)	26.8	24.8	22.1	21.1
Revenue growth (% YoY)	2.0	13.7	26.2	12.5
EBITDA growth (% YoY)	(1.4)	6.0	21.8	10.5
Adj. profit growth (%)	9.4	5.2	12.3	7.4

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	72,819	87,401	98,110	1,05,391
Add: Depreciation	13,620	14,843	19,966	20,787
Interest (net of tax)	(22,778)	(29,342)	(26,492)	(23,938)
Others	2,09,089	0	0	0
Less: Changes in WC	(1,36,299)	(9,367)	(1,35,980)	(70,624)
Operating cash flow	1,36,451	63,534	(44,395)	31,615
Less: Capex	17,566	30,000	30,000	45,000
Free cash flow	1,18,886	33,534	(74,395)	(13,385)

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.3	6.3	6.3	6.3
Repo rate (%)	5.3	5.3	5.3	5.3
USD/INR (average)	82.0	82.0	82.0	82.0
Domestic rev gwth (%)	2.0	13.7	26.2	12.5
Exports rev gwth (%)	196.2	(25.0)	(44.4)	50.0
Gross margin (%)	60.3	57.5	56.0	55.0
EBITDA margin (%)	31.1	29.0	28.0	27.5
Tax rate (%)	23.1	25.0	25.0	25.0
Capex (INR mn)	(17,565.7)	(30,000.0)	(30,000.0)	(45,000.0)

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	26.0	22.8	21.4	19.6
RoCE (%)	33.9	30.4	28.6	26.1
Inventory days	517	529	478	514
Receivable days	218	216	205	222
Payable days	126	122	106	112
Working cap (% sales)	(52.6)	(43.6)	(3.9)	10.6
Gross debt/equity (x)	0	0	0	0
Net debt/equity (x)	(1.1)	(1.0)	(0.7)	(0.6)
Interest coverage (x)	957.9	825.3	782.7	777.2

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	38.1	36.2	32.3	30.0
Price/BV (x)	9.1	7.6	6.4	5.4
EV/EBITDA (x)	28.9	26.8	22.6	20.5
Dividend yield (%)	0.8	0.6	0.6	0.7

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	9.4	5.2	12.3	7.4
RoE (%)	26.0	22.8	21.4	19.6
EBITDA growth (%)	(1.4)	6.0	21.8	10.5
Payout ratio (%)	32.2	20.0	20.0	20.0

Source: Company and Nuvama estimates

Data Patterns (BUY, TP: INR3,570)

Q2FY26: Sales triples from strategic order; margin impact transient

- Revenue spiked 3x YoY to INR3bn in Q2FY26 driven by the execution of a strategic INR1.8bn project undertaken at a competitive price to capitalise on long-term opportunity potential.
- This competitively priced project compressed GM/OPMs to 38.%/22.3% respectively (versus 76%/37.7% in Q2FY25).
- Backlog was INR6.7bn, with OI up ~4x YoY to INR1.7bn. Including INR5.5bn of negotiated orders, backlog is set to rise to INR12.9bn (1.8x FY25 sales).
- For FY26, management remains confident of achieving revenue growth of 20–25% and OPM of 35–40% along with INR10bn order inflow for remaining part of the year.
- Retain '**BUY**' as a niche play on defence electronics. We reckon OI/revenue CAGR of 25–30% over FY25–28E with an OPM/EPS CAGR of 38%/20% over FY27–28E. Valuing the stock at 55x Sept-27E EPS yields a TP of INR3,570.

Exhibit 33: DPL FY28E EPS sensitivity

		Revenue CAGR (FY25–28E)				
		19.0%	22.0%	25.0%	28.0%	30.0%
FY28E OPMs (%)	36.0%	57.5	61.3	65.5	69.7	72.6
	37.0%	59.1	63.1	67.4	71.7	74.8
	38.0%	60.8	64.8	69.3	73.7	76.9
	39.0%	62.4	66.6	71.2	75.8	79.0
	40.0%	64.1	68.4	73.1	77.8	81.2

Source: Nuvama Research

A lowdown on key factors to watch

- **Order inflow visibility improves with export upside:** Sustained ordering momentum remains critical for DPIL. Management expects ~INR10bn of additional order wins in H2FY26, with INR5.5bn of negotiated contracts likely to be signed over the next 2–3 months, taking backlog to ~INR13bn (1.8x FY25 sales). In conjunction, a healthy export backlog of INR800mn and successful T-PAR radar acceptance strengthen export credibility, with potential orders from Europe and South America and co-development with foreign OEMs supporting a structurally improving export opportunity.
- **Product pipeline deepens across high-value segments:** Ongoing in-house development across jammer pods (Super-Sukhoi), BrahMos seekers (production contracts imminent given negotiations completed), advanced radars (airborne, ground-based, detection, and fire control), EW, drone detection and next-gen seekers expands the addressable TAM to ~INR15–20bn, as per management. AMC contracts on BrahMos subsystems further add annuity-like revenue visibility.
- **Elevated working capital levels:** Working capital remains elevated at ~343 days (310–315 days excluding advances). While receivables are expected to be realised in H2FY26, DPIL's business is inherently working-capital intensive, which we do not view negatively given: i) Its focus on fully in-house, R&D-heavy developmental contracts with longer execution cycles. ii) Inventory of 1,000-plus

COTS building blocks maintained for faster order fulfilment. iii) A proactive push strategy involving development of products such as aircraft pods and radars ahead of contract awards, leading to near-term inventory build-up.

Exhibit 34: Details of Data Patterns' in-house products/programmes

Products/Programmes	Details
Monopulse RF Seeker	Delivered prototypes to DRDO
X-Band Doppler Weather Radar	Prototype installed in Chennai for meteorology department
205MHz Wind Profile Radar for CUSAT	Installed at Cochin for a government owned university
Radar for Naval Utility Helicopter	Prototype delivered to LRDE (DRDO)
A Next-Generation Software Defined Radio for fighter aircrafts	Prototype developed for DEAL (DRDO)
A Next-Generation Radar Warning Receiver for fighter aircrafts	Prototype developed for DLRL (DRDO)
A Next-Generation COMINT	Prototype developed for DLRL (DRDO)
Precision Approach Radar	Delivered to Air Force and Navy
Nano Satellite	Being delivered to industry
Launches and Fire control systems	Brahmos
Avionics	Cockpit display for LCA Tejas
Electronic Warfare	For various upgrade programs
Doppler weather radars	Built both X-Band and C-Band
Dharashakti programme	COMINT search receivers, Direction Finder & Monitoring receivers.
Airborne surveillance radar	Inducted in Navy's Dornier upgrade and new helicopter programmes
Himshakti program	COMINT search receivers, Direction Finder & Monitoring receivers.
Arudra radar	Supply of advanced radar subsystems and components
Ashwini LLTR	TR modules, AGRU, signal processor, etc.

Source: Company, Nuvama Research

Exhibit 35: Details of Data Patterns' in-house products/programmes

Major platforms/customers	Product potential
Light combat aircraft (LCA) Tejas	Smart standby display unit
Light utility helicopter	Cockpit display
BrahMos missile programme	Seeker Fire control system Mobile autonomous launcher (ground-based) Airborne launcher to be equipped in Su-30MKI
Advanced light helicopter	Avionic systems
Dornier aircraft	SIGNIT EW Suite Maritime Patrol radar
Intermediate jet trainers	Avionic systems/ radar
Indian Space Research Organisation	Automatic test equipment for testing on-board systems Tracking radars to track the launches of PSLV/GSLV Launch countdown system
GRSE and MDL	Naval advanced electronic systems and subsystems - Wind Profile and Doppler Weather Radars, communication products, Power Supply Units, Customized operator consoles for missile and torpedo launch applications.
Naval Aircraft Yards (CSL and Goa Shipyards)	Avionic and electronic systems for naval aircraft maintenance and upgrades.
Leonardo MW Ltd (UK)	Supply of electronic systems for defense and aerospace applications.
Electronics Corporation of India Ltd (ECIL)	COTS module, power module testers, avionics systems, navigation systems, and specialized products like fire control systems and seeker systems.

Source: Company, Nuvama Research

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	7,084	9,242	11,892	13,944
Gross profit	4,323	5,360	6,838	7,878
Employee costs	1,141	1,386	1,665	1,813
Other expenses	432	555	654	767
EBITDA	2,750	3,420	4,519	5,299
Depreciation	139	223	240	298
Less: Interest expense	121	157	196	195
Add: Other income	463	377	399	401
Profit before tax	2,953	3,417	4,482	5,206
Prov for tax	735	854	1,120	1,301
Less: Other adj	0	0	0	0
Reported profit	2,218	2,563	3,361	3,904
Less: Excp.item (net)	0	0	0	0
Adjusted profit	2,218	2,563	3,361	3,904
Diluted shares o/s	56	56	56	56
Adjusted diluted EPS	39.6	45.8	60.0	69.7
DPS (INR)	7.9	9.2	12.1	10.5
Tax rate (%)	24.9	25.0	25.0	25.0

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	112	112	112	112
Reserves	14,970	17,017	19,702	23,021
Shareholders funds	15,082	17,129	19,814	23,133
Minority interest	0	0	0	0
Borrowings	0	0	0	0
Trade payables	838	957	1,246	1,662
Other liabs & prov	2,471	2,471	2,471	2,471
Total liabilities	18,391	20,557	23,531	27,265
Net block	2,473	3,000	3,510	3,912
Intangible assets	363	363	363	363
Capital WIP	128	128	128	128
Total fixed assets	2,963	3,491	4,001	4,402
Non current inv	0	0	0	0
Cash/cash equivalent	1,264	2,972	2,779	1,336
Sundry debtors	5,964	5,571	7,168	10,696
Loans & advances	0	0	0	0
Other assets	8,200	8,524	9,584	10,831
Total assets	18,391	20,557	23,531	27,265

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
COGS (% of rev)	39.0	42.0	42.5	43.5
Employee cost (% of rev)	16.1	15.0	14.0	13.0
Other exp (% of rev)	6.1	6.0	5.5	5.5
EBITDA margin (%)	38.8	37.0	38.0	38.0
Net profit margin (%)	31.3	27.7	28.3	28.0
Revenue growth (% YoY)	36.3	30.5	28.7	17.3
EBITDA growth (% YoY)	24.1	24.3	32.1	17.3
Adj. profit growth (%)	22.1	15.5	31.2	16.1

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	2,248	2,563	3,361	3,904
Add: Depreciation	139	223	240	298
Interest (net of tax)	121	157	196	195
Others	(431)	(377)	(399)	(401)
Less: Changes in WC	(2,976)	188	(2,368)	(4,360)
Operating cash flow	(899)	2,754	1,031	(363)
Less: Capex	1,064	750	750	700
Free cash flow	(1,963)	2,004	281	(1,063)

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.3	6.3	6.3	6.3
Repo rate (%)	5.3	5.3	5.3	5.3
USD/INR (average)	82.0	82.0	82.0	82.0
Domestic rev gwth (%)	36.3	30.5	28.7	17.3
Exports rev gwth (%)	(47.7)	215.0	30.0	10.0
Gross margin (%)	61.0	58.0	57.5	56.5
EBITDA margin (%)	38.8	37.0	38.0	38.0
Tax rate (%)	24.9	25.0	25.0	25.0
Capex (INR mn)	(1,064.3)	(750.0)	(750.0)	(700.0)

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	15.7	15.9	18.2	18.2
RoCE (%)	21.7	22.2	25.3	25.2
Inventory days	387	315	292	312
Receivable days	256	228	195	234
Payable days	89	84	80	87
Working cap (% sales)	156.4	117.8	111.5	126.4
Gross debt/equity (x)	0	0	0	0
Net debt/equity (x)	(0.1)	(0.2)	(0.1)	(0.1)
Interest coverage (x)	21.6	20.3	21.8	25.6

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	75.2	65.1	49.6	42.7
Price/BV (x)	11.1	9.7	8.4	7.2
EV/EBITDA (x)	60.2	47.9	36.3	31.2
Dividend yield (%)	0.3	0.3	0.4	0.4

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	22.1	15.5	31.2	16.1
RoE (%)	15.7	15.9	18.2	18.2
EBITDA growth (%)	24.1	24.3	32.1	17.3
Payout ratio (%)	19.9	20.1	20.1	15.0

Source: Company and Nuvama estimates

Solar Industries (BUY, TP: INR18,000)

Q2FY26: Defence and Overseas key growth pillars

- Revenue rose 21.4% YoY to INR20.8bn led by strong international and defence traction, whereas OPM came in at 26.5%, ahead of Street's estimate of 25.5%.
- Defence segment delivered a strong performance with revenue crossing INR5bn this quarter/INR9bn in H1FY26, growing 57% YoY/79% YoY. International business too kept up the solid momentum, growing 21% YoY to INR9.6bn.
- Defence order book remains robust at INR155bn-plus with the total backlog exceeding INR171bn. Management reiterated FY26 revenue guidance of INR100bn (30% defence mix) and OPM at 27%-plus.
- Retain '**BUY**' as Defence and Overseas remain key high-growth and margin-accretive drivers. While visibility on fresh orders beyond FY27–28E remains critical, DPIL's niche positioning in the defence electronics segment, with limited peer comparability across key products, continues to command a premium. We value the stock at 60x on FY28E EPS, which yields a TP of INR18,000.

Exhibit 36: SOIL FY28E EPS sensitivity

		Revenue CAGR (FY25–28E)				
		20.0%	23.0%	25.0%	28.0%	30.0%
FY28E OPMs (%)	26.0%	220.4	241.6	257.2	280.8	296.4
	26.5%	225.9	247.5	263.4	287.5	303.4
	27.0%	231.4	253.5	269.7	294.2	310.4
	27.5%	236.9	259.4	275.9	300.9	317.4
	28.0%	242.4	265.3	282.1	307.6	324.4

Source: Nuvama Research

A lowdown on key factors to watch

- **Defence business enters multi-year scale-up phase:** Defence revenues crossed INR5bn in Q2FY26 (24% mix versus >5% in FY23), supported by a strong defence order book of INR155bn with a three–four year execution horizon. Ramp-up in key programs such as Pinaka rockets (commercial sales from Q3FY26), 155 mm artillery shells (commercial output from Q4FY26) and loitering munitions provides clear multi-year growth visibility. Management has reiterated its FY26 defence revenue target of ~INR30bn. Successful trials of Bhargavastra (anti-drone system) and ongoing development of hard-kill interception systems position Solar Industries in a high-priority defence segment, in our view. Parallel development of energetics for programs such as KUSHA and medium-calibre ammunition expands the long-term defence addressable market.
- **Defence exports on an uptrend:** We expect exports to emerge as a key growth driver for SOIL (INR80bn backlog), supported by a broadening product portfolio. Key contributors include Pinaka execution and potential ER orders, 155mm artillery shells (trial production underway with commercialisation expected from Q4FY26), and newer offerings such as loitering munitions (Nagastra) and anti-drone systems (Bhargavastra). The missile and energetic portfolio is also expanding with development underway for programmes such as KUSHA, medium-calibre ammunition and energetic materials.

- **International business (non-defence) momentum strengthens:** International revenue reached a record INR9.6bn in Q2FY26 (+21% YoY), driven by a turnaround in African and Eurasian operations and expanding presence across new geographies. With operations in Australia and Kazakhstan being set up and entry planned into Saudi Arabia, management is targeting ~15% annualised growth, aided by global ammunition shortages and SOIL's qualification across multiple export categories.
- **Valuations:** SOIL has seen a sharp correction following the Jun-25 rally, driven by elevated valuation concerns amid broader market weakness. We believe the downside is largely priced in with the high-margin defence segment acting as a key catalyst for re-rating as revenues scale up. The robust order book of INR155bn, including INR85bn of exports, provides strong visibility on revenue growth over the next three–four years. Consequently, we reckon SOIL shall deliver a healthy EPS CAGR of 31% over FY25–28E.

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	75,403	96,442	1,26,923	1,61,068
Gross profit	36,330	46,930	62,683	80,375
Employee costs	(6,001)	(7,715)	(10,027)	(12,724)
Other expenses	(10,725)	(13,695)	(18,404)	(24,160)
EBITDA	19,604	25,520	34,253	43,490
Depreciation	(1,815)	(2,776)	(4,550)	(5,738)
Less: Interest expense	(1,165)	(1,252)	(1,861)	(1,971)
Add: Other income	708	976	870	1,134
Profit before tax	17,332	22,468	28,712	36,916
Prov for tax	(4,508)	(5,617)	(7,178)	(9,229)
Less: Other adj	56	0	0	0
Reported profit	12,094	16,351	21,034	27,187
Less: Excp.item (net)	0	0	0	0
Adjusted profit	12,094	16,351	21,034	27,187
Diluted shares o/s	90	90	90	90
Adjusted diluted EPS	133.7	180.7	232.4	300.4
DPS (INR)	10.0	12.6	16.3	21.0
Tax rate (%)	26.0	25.0	25.0	25.0

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	181	181	181	181
Reserves	43,682	59,389	79,451	1,05,234
Shareholders funds	43,863	59,570	79,632	1,05,415
Minority interest	1,503	1,503	1,503	1,503
Borrowings	9,396	21,896	21,896	21,896
Trade payables	4,925	5,426	7,040	8,843
Other liabs & prov	22,926	22,926	22,926	22,926
Total liabilities	82,613	1,11,320	1,32,996	1,60,583
Net block	26,920	49,144	64,594	78,856
Intangible assets	0	0	0	0
Capital WIP	7,070	7,070	7,070	7,070
Total fixed assets	33,990	56,214	71,664	85,926
Non current inv	1,473	1,473	1,473	1,473
Cash/cash equivalent	7,255	11,104	9,523	14,113
Sundry debtors	12,386	13,211	17,387	22,064
Loans & advances	5,311	5,311	5,311	5,311
Other assets	21,874	23,682	27,314	31,371
Total assets	82,613	1,11,320	1,32,996	1,60,583

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
COGS (% of rev)	(51.8)	(51.3)	(50.6)	(50.1)
Employee cost (% of rev)	(8.0)	(8.0)	(7.9)	(7.9)
Other exp (% of rev)	(14.2)	(14.2)	(14.5)	(15.0)
EBITDA margin (%)	26.0	26.5	27.0	27.0
Net profit margin (%)	16.0	17.0	16.6	16.9
Revenue growth (% YoY)	24.2	27.9	31.6	26.9
EBITDA growth (% YoY)	43.2	30.2	34.2	27.0
Adj. profit growth (%)	44.7	35.2	28.6	29.3

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	13,301	16,851	21,534	27,687
Add: Depreciation	1,815	2,776	4,550	5,738
Interest (net of tax)	909	276	991	836
Others	0	0	0	0
Less: Changes in WC	8,144	(2,133)	(6,193)	(6,931)
Operating cash flow	24,169	17,770	20,882	27,330
Less: Capex	10,060	25,000	20,000	20,000
Free cash flow	14,109	(7,230)	882	7,330

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.3	6.3	6.3	6.3
Repo rate (%)	5.3	5.3	5.3	5.3
USD/INR (average)	82.0	82.0	82.0	82.0
Domestic rev gwth (%)	24.2	27.9	31.6	26.9
Exports rev gwth (%)	0	0	0	0
Gross margin (%)	48.2	48.7	49.4	49.9
EBITDA margin (%)	26.0	26.5	27.0	27.0
Tax rate (%)	(26.0)	(25.0)	(25.0)	(25.0)
Capex (INR mn)	(10,059.5)	(25,000.0)	(20,000.0)	(20,000.0)

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	31.4	31.6	30.2	29.4
RoCE (%)	37.0	34.4	32.9	33.5
Inventory days	(88)	(83)	(80)	(81)
Receivable days	50	48	44	45
Payable days	(38)	(38)	(35)	(36)
Working cap (% sales)	16.4	15.0	16.3	17.1
Gross debt/equity (x)	0.2	0.4	0.3	0.2
Net debt/equity (x)	0	0.2	0.2	0.1
Interest coverage (x)	15.3	18.2	16.0	19.2

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	103.2	76.3	59.3	45.9
Price/BV (x)	28.4	20.9	15.7	11.8
EV/EBITDA (x)	63.8	49.3	36.8	28.9
Dividend yield (%)	0.1	0.1	0.1	0.2

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	44.7	35.2	28.6	29.3
RoE (%)	31.4	31.6	30.2	29.4
EBITDA growth (%)	43.2	30.2	34.2	27.0
Payout ratio (%)	7.5	7.0	7.0	7.0

Source: Company and Nuvama estimates

Zen Technologies (HOLD, TP: INR1,400)

Q2FY26: Weak trends persist; inflow traction remains vital trigger

- Revenue plunged 48.4% YoY to INR1.25bn while OPMs came in at 33.5%, trailing Street's expectations of 34.4%. OI remained subdued as government prioritised EP orders following Operation Sindoor, leading to deferral of simulator/training equipment orders (~73% of ZTL's FY25 OB) worth ~INR6.5bn. Consequently, consolidated OB fell ~10% QoQ to INR6.75bn (0.7x FY25 sales).

- Management expects ~INR6.5bn of Army simulator orders by end-H2FY26E (versus INR2.3bn received in Q3FY26), supplemented by possible emergency procurements. While FY26 is likely to remain subdued, these anticipated inflows in H2FY26 will be critical for FY27E–28E growth, with the company reiterating its INR60bn cumulative revenue target for FY26E–28E.

- Maintain '**HOLD**' as near-term headwinds persist, with turnaround hinging on a pickup in OI momentum in H2FY26E. Valuing the stock at 30x FY28E EPS, which yields a TP of INR1,400.

Exhibit 37: FY28E EPS sensitivity

		Revenue CAGR (FY25–28E)				
		14.6%	17.2%	19.8%	22.2%	24.6%
FY28E OPMs (%)	30.0%	38.8	41.3	43.7	46.2	48.6
	31.0%	40.0	42.5	45.1	47.6	50.2
	32.0%	41.2	43.8	46.4	49.1	51.7
	33.0%	42.4	45.1	47.8	50.5	53.2
	34.0%	43.6	46.3	49.1	51.9	54.7

Source: Nuvama Research

A lowdown on key factors to watch

- **Near-term order delays and muted FY26 performance**: Government focus on emergency procurement post Operation Sindoor has delayed simulator orders (~INR6.5bn OI guidance), leading to a muted H2FY26 and FY26 overall. While management expects order inflows to pick up over the next two months, timing remains a key near-term risk.

- **Order inflow lumpiness and execution phasing:** Zen's order inflows remain lumpy, with emergency procurement orders typically capped at ~INR3bn each and required to be concluded by Mar-26. This creates visibility gaps and quarterly volatility, even though medium-term demand remains strong.

- **Dependence on government procurement cycles:** Zen continues to be exposed to government procurement priorities and timelines, particularly vis-à-vis larger PSUs such as BEL. Any prolonged shift in procurement focus away from simulators could defer order conversion despite a robust pipeline.

- **Valuation sensitivity to recovery timing:** With expectations anchored to a strong FY27–28 rebound, any further slippage in order intake or execution could weigh on sentiment. Near-term performance remains a key swing factor for valuation, even as long-term fundamentals remain intact.

Financial Statements

Income Statement (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Total operating income	9,307	8,000	12,000	16,000
Gross profit	4,765	4,080	5,880	7,680
Employee costs	570	560	720	960
Other expenses	1,057	880	1,260	1,600
EBITDA	3,137	2,640	3,900	5,120
Depreciation	101	148	166	174
Less: Interest expense	94	77	7	7
Add: Other income	578	597	647	651
Profit before tax	3,520	3,011	4,375	5,590
Prov for tax	890	753	1,094	1,398
Less: Other adj	0	0	0	0
Reported profit	2,630	2,259	3,281	4,193
Less: Excp.item (net)	0	0	0	0
Adjusted profit	2,630	2,259	3,281	4,193
Diluted shares o/s	90	90	90	90
Adjusted diluted EPS	29.1	25.0	36.3	46.4
DPS (INR)	2.0	1.6	2.4	3.0
Tax rate (%)	25.3	25.0	25.0	25.0

Balance Sheet (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Share capital	90	90	90	90
Reserves	16,800	18,911	21,979	25,899
Shareholders funds	16,890	19,002	22,070	25,990
Minority interest	0	0	0	0
Borrowings	402	0	0	0
Trade payables	118	164	256	348
Other liabs & prov	48	48	48	48
Total liabilities	18,755	20,510	23,670	27,682
Net block	1,023	1,674	2,009	2,335
Intangible assets	59	59	59	59
Capital WIP	36	36	36	36
Total fixed assets	1,117	1,769	2,103	2,430
Non current inv	2,185	2,185	2,185	2,185
Cash/cash equivalent	8,392	10,193	11,329	13,218
Sundry debtors	3,784	2,630	3,945	5,260
Loans & advances	256	256	256	256
Other assets	3,020	3,477	3,852	4,334
Total assets	18,755	20,510	23,670	27,682

Important Ratios (%)

Year to March	FY25A	FY26E	FY27E	FY28E
COGS (% of rev)	48.8	49.0	51.0	52.0
Employee cost (% of rev)	6.1	7.0	6.0	6.0
Other exp (% of rev)	11.4	11.0	10.5	10.0
EBITDA margin (%)	33.7	33.0	32.5	32.0
Net profit margin (%)	28.3	28.2	27.3	26.2
Revenue growth (% YoY)	116.3	(14.0)	50.0	33.3
EBITDA growth (% YoY)	77.0	(15.8)	47.7	31.3
Adj. profit growth (%)	107.3	(14.1)	45.3	27.8

Free Cash Flow (INR mn)

Year to March	FY25A	FY26E	FY27E	FY28E
Reported profit	2,536	2,259	3,281	4,193
Add: Depreciation	101	148	166	174
Interest (net of tax)	59	77	7	7
Others	0	0	0	0
Less: Changes in WC	(3,778)	743	(1,598)	(1,705)
Operating cash flow	(1,082)	3,227	1,856	2,668
Less: Capex	298	800	500	500
Free cash flow	(1,380)	2,427	1,356	2,168

Assumptions (%)

Year to March	FY25A	FY26E	FY27E	FY28E
GDP (YoY %)	6.0	6.2	7.0	7.0
Repo rate (%)	6.0	5.0	5.0	5.0
USD/INR (average)	84.0	82.0	81.0	81.0
Products rev gwth (%)	124.7	(72.2)	87.8	55.0
Exports rev gwth (%)	(83.8)	194.6	60.0	44.2
Gross margin (%)	51.2	51.0	49.0	48.0
EBITDA margin (%)	33.7	33.0	32.5	32.0
Tax rate (%)	25.3	25.0	25.0	25.0
Capex (INR mn)	(298.0)	(800.0)	(500.0)	(500.0)

Key Ratios

Year to March	FY25A	FY26E	FY27E	FY28E
RoE (%)	24.6	12.6	16.0	17.4
RoCE (%)	33.1	17.0	21.3	23.3
Inventory days	74	69	69	69
Receivable days	107	146	100	105
Payable days	15	13	13	13
Working cap (% sales)	74.1	76.9	64.6	59.1
Gross debt/equity (x)	0	0	0	0
Net debt/equity (x)	(0.5)	(0.5)	(0.5)	(0.5)
Interest coverage (x)	32.2	32.4	560.5	742.4

Valuation Metrics

Year to March	FY25A	FY26E	FY27E	FY28E
Diluted P/E (x)	46.2	53.8	37.0	29.0
Price/BV (x)	7.2	6.4	5.5	4.7
EV/EBITDA (x)	36.2	42.2	28.3	21.2
Dividend yield (%)	0.1	0.1	0.2	0.2

Valuation Drivers

Year to March	FY25A	FY26E	FY27E	FY28E
EPS growth (%)	93.0	(14.1)	45.3	27.8
RoE (%)	24.6	12.6	16.0	17.4
EBITDA growth (%)	77.0	(15.8)	47.7	31.3
Payout ratio (%)	6.9	6.5	6.5	6.5

Source: Company and Nuvama estimates

Annexure: Defence TAM/ordering

Exhibit 38: MoD's defence capital proposals over last 24–30 months

Date	Amount (INR bn)	USD bn	Main products	Potential Beneficiaries
29-Dec-25	790	8.8	Loiter Munition System for Artillery Regiments, LLLW Radars, LRG Rocket Ammunition for Pinaka MRLS, Integrated Drone Detection & Interdiction System Mk-II, Bollard Pull (BP) Tugs, HF SDR Manpack, HALE Remotely Piloted Aircraft System (RPAS), - Automatic Take-off Landing Recording System, Astra Mk-II Missiles, Full Mission Simulator, SPICE-1000 Long Range Guidance Kit	Solar Industries, TASL, Adani Defence, BEL, Data Patterns, Astra Microwave, L&T, CSL, HAL
23-Oct-25	790	8.8	Nag Missile System (Tracked) Mk-II, Ground Based Mobile ELINT System, High Mobility Vehicles, - Landing Platform Docks (LPD), 30mm Naval Surface Gun (NSG), Advanced Light Weight Torpedoes (ALWT), Electro Optical Infra-Red Search and Track System, Smart Ammunition for 76mm Super Rapid Gun Mount, - Collaborative Long Range Target Saturation/Destruction System	BDL, BEL, Paras Defence, TASL, BEML, Data Patterns, Alpha Design, CSL, L&T, MDL, GRSE, Sagar Defence, Solar Industries, ideaForge, BHEL
05-Aug-25	670	7.4	Thermal imager-based driver night sight for BMP, Compact autonomous surface craft, BrahMos fire control system & launchers, upgradation of BARAK-1 point defence missile system, Mountain radars and upgradation of SAKSHAM/SPYDER weapon system, Medium altitude long endurance (MALE) remotely piloted aircraft (RPAs), Sustenance of C-17 and C-130J fleets and comprehensive annual maintenance contract of S-400 Long Range Air Defence Missile System	HAL, BEL, Data Patterns, L&T, GRSE, Sagar Defence Engineering, BDL, Bharat Forge, Tata Advanced Systems, Solar Industries, Adani Defence
03-Jul-25	1,050	11.7	Armoured Recovery Vehicles, Electronic Warfare System, Integrated Common Inventory Management System for the Tri-Services, Surface-to-Air Missiles, Moored Mines, Mine Counter Measure Vessels, Super Rapid Gun Mount and Submersible Autonomous Vessels.	BEML, Bharat Forge, Mahindra, Tata Advanced Systems, L&T, BEL, Data Patterns, Astra Microwave, BDL, Adani Defence, Goa Shipyard, BHEL, Sagar Defence
20-Mar-25	540	6.0	350 HP engines for T-90 tanks, Varunastra Torpedoes & Airborne Early Warning & Control Aircraft systems	BDL, BEL, BEML, Astra Microwave, Data Patterns, Apollo Micro Systems, Adani Defence & Aerospace
04-Dec-24	218	2.4	New Water Jet Fast Attack Crafts, Fast Interceptor Craft (FIC-1), Electronic Warfare Suite (EWS) comprising External Airborne Self Protection Jammer pods, Next Generation Radar Warning Receiver and associated equipment for Su-30 MKI Aircraft, Advanced Light Helicopters, T-72 & T-90 tanks BMP-IIK, Engines of Sukhoi fighter aircraft.	GRSE, HAL, BDL, BEL, Data Patterns, L&T
03-Sep-24	1,450	16.1	Future Ready Combat Vehicles (FRCVs), Air Defence Fire Control Radars, Forward Repair Team (Tracked), Dornier-228 aircraft for ICG, Next Generation Fast Patrol Vessels and Next Generation Offshore Patrol Vessels for Indian Coast Guard (ICG).	Bharat Forge, L&T, BEL, Alpha Design, AVNL, HAL, Goa Shipyard, GRSE, CSL, MDL
29-Jul-24	NA	-	Advanced Land Navigation System (ALNS) for Armoured Fighting Vehicles (AFVs), Interceptor boats.	BEL, L&T, Goa Shipyard, GRSE
13-Mar-24	391	4.3	RD-33 Aero-engines for MiG-29 aircraft, close-in weapon system (CIWS), procurement of High-Power Radar (HPR), BrahMos missiles, Ship borne BrahMos system.	HAL, L&T
16-Feb-24	846	9.4	Anti-tank mines, CALM system, tactical control radars, Dornier aircrafts, heavy weight torpedoes, flight re-fuller aircraft, software defined radios etc.	HAL, BDL, BEL
30-Nov-23	2,230	24.8	97 nos. of LCA Tejas Mark-1A, 156 nos. of LCH Prachand, upgradation of 80 nos. of Su-30 Mark-1 and MRSAM.	HAL, BDL, BEL, L&T
15-Sep-23	450	5.0	LAMV, ISTS-S, HMV, Next Generation Survey Vessels, Avionic upgradation of Dornier Aircraft, Dhruvastra SR air-to-surface missiles) and Su-30 MKI aircrafts.	L&T, Tata Motors, Bharat Forge, Mahindra, IdeaForge, BEL, BEML, Ashok Leyland, GRSE, CSL, DPP, BDL, HAL
24-Aug-23	78	0.9	Electronic Warfare (EW) Suite on Mi-17 V5 Helicopters, Ground-Based Autonomous System for mechanised infantry and armoured regiments, 7.62x51 mm Light Machine Gun (LMG) and Bridge Laying Tank (BLT).	BEL, AVNL
17-Mar-23	705	7.8	BrahMos missiles, Shakti Electronic Warfare Systems, Utility Helicopters, Long-Range Stand-off Weapon, Su-30 MKI aircraft, 155mm/52 Caliber ATAGS, High Mobility & Gun Towing Vehicles.	BEL, DPP, HAL, Solar, Bharat Forge, Tata Advanced Systems
Total	**9,418**	**96**		

Source: Company, Nuvama Research. Note: Considered INR90 as USD conversion rate.

Exhibit 39: INR10tn DPSUs' pipeline likely to materialise over next five–seven years

Hindustan Aeronautics Limited			
Platforms	**Units**	**Cost (INR bn)**	**Expected Timeline**
Helicopters	-		-
Light Utility Helicopters (LUH)	213	266	Spread over a decade
Light Combat Helicopters (LCH) *	156	627	Order received
Advanced Light Helicopter (ALH)	143	340	FY26-28
Naval Utility Helicopter (NUH)	111	217	FY25-26
Indian Multi-Role Helicopter (IMRH)/ DBMRH	314	942	FY28-29
Aircrafts	-		-
Light Combat Aircraft (LCA) Mark 1A *	97	624	Order received
Light Combat Aircraft (LCA) Mark 2	120	960	FY29-30
Sukhoi-30 MKI *	12	135	Order received
Dornier-228 Mid Life Upgrade *	25	29	Order received
Advanced Medium Combat Aircraft (AMCA)	126	1,134	FY34-35
Twin Engine Deck Based Fighter (TEDBF)	45	140	FY32-33
Dornier-228 (Indian Navy)	10	20	FY26-27
Dornier-228 Upgrade (IAF)	40	48	FY26-27
Engine	-		-
AL-31 FP *	240	260	Order received
Total opportunity		**4,000**	**70% pending ordering**

Bharat Electronics Limited			
Base orders (upgrades, maintenance, spares etc.)	-	200	INR200bn p.a.
Weather radar	-	25	FY26-28
EW Suite for MI-17 *	-	20	Order received
Atulya radar *	-	20	Order received
Ashwini radar *	-	25	Order received
Shakti Phase-4	-	20	FY26-28
QRSAM (weapon system)	-	250	FY26-28
MFR-X radar for NGME ships	-	20	FY26-28
GBMES system	-	20	FY26-28
Mountain radar	-	20	FY26-28
MRSAM	-	70	FY26-28
MF STAR variants for NGC (P75-I)	-	70	FY26-28
Other large programs	-	400	FY26-28
Total opportunity		**1,095**	**94% pending ordering**

Mazagon Dock Shipyards Limited			
Next Generation Corvettes	8	360	FY26-27
Next Generation Destroyers	-	800	FY26-27
P-75I Submarines	6	600	FY25-26
Project 17B stealth frigates	7	700	FY26-27
Total opportunity		**2,460**	**100% pending ordering**

Bharat Dynamics Limited			
Base orders (SAMs, torpedos, spares, refurbishment)	-	20	INR20bn p.a.
Astra Mk I	750	113	FY25-29
Astra Mk II	15	3	FY26-27
MRSAM *	70	30	Order received
Invar ATGM*	-	21	Order received
QRSAM	144	88	FY27-28
LBRM	1200	48	FY25-26
SAAW	-	10	FY25-26
NAG/Helina ATGM	500	5	FY25-26
Spike ER2	-	3	FY25-26
LRLACM	200	140	FY27-28
Total opportunity		**428**	**89% pending ordering**

Cochin Shipyard Limited			
Bid Submitted	-	95	-
RFP Stage	-	8	-
RFI Stage	-	1,298	-
Expected RFI Stage	-	800	-
Total opportunity		**2,200**	**100% pending ordering**

Source: Company, Nuvama Research

All price charts cannot be included given the large of number of companies in our coverage. Specific charts may be available upon request.

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